



Flip Program

Here are some of the uniqueness's/benefits that our FLIP Program offers:

1. **Ability to get Pre-Approved**
2. **In House Valuations at No Cost to clients (in most cases)**
3. **Reduced Legal Fees and Efficient Legal Process**
4. **No Renewal Fees**
5. **Fast closings**

Here is our underwriting philosophy for Flip/BRRR Financing: if it is a profitable deal we want to be involved.

- **Profitability is our first underwriting filter: will you make money?**
- Value the property "as if renovated", which is why we require the budget and description of renovations.
- We ask for a **minimum of \$20,000 down** and must not exceed 80% LTV of the After Repaired Value (ARV).
- Clients cover the cost of renovations
- Client must make monthly interest only payments.

Documentation required for personal pre-approval:

1. **Application**
2. **Credit Bureau**
3. **Most Recent Personal Notice of Assessment**
4. If Borrowing through a Corporation, we would need **Most Recent Year End Financial Statements** for the entity and documentation confirming that the corporation does **Not Owe any Business Taxes, GST or Employee Source Deductions.**

In order to qualify the Property/Flip/BRRR we require the following:

- **Executed Purchase Contract** (If Available) – Can prequalify property before making an offer
- Confirmation of **Funds Available for Down Payment, Renovations and Carrying Costs**. This can be by way of **Bank Statements, Investment Statement, HELOC, LOC's, Credit Cards, JV Partner, etc.**
- **Budget and Detailed Summary of Renovations** to be completed

Terms and Financing Information:

Term: 6 Months – No Renewal Fee

Rate: TBD – depends on the Down Payment.

1. 20K down at 15.5%
2. 5% down 13% - 15%
3. 10% down 11.5% - 13%
4. 15% down 10% - 11.5%
5. 20% down 9.5% - 10%
6. 25% down 9% - 9.5%
7. 30% - 35% down 8.5% - 9%

The rate may slightly differ depending on the size of the project, the actual \$ amount being put down, the location of the property, etc.

The rates are on an annual basis and as flips should be very short term, the cost of borrowing is more accurately calculated on a monthly basis (15.5% = 1.29% on a monthly basis).

Early Prepayment: This mortgage is fully open. **No Payout Penalty**

Payments: Interest only

Lender and Broker Fee: 2% of the net loan amount. The fee is capitalized onto the mortgage.

Another way to help reduce the interest rate and costs is to provide another property as extra security. Once the property sells or is refinanced, we would discharge our mortgage from all properties.